

RIDERS Farming Profile



Rîders
Trading & Manufacturing S.C.



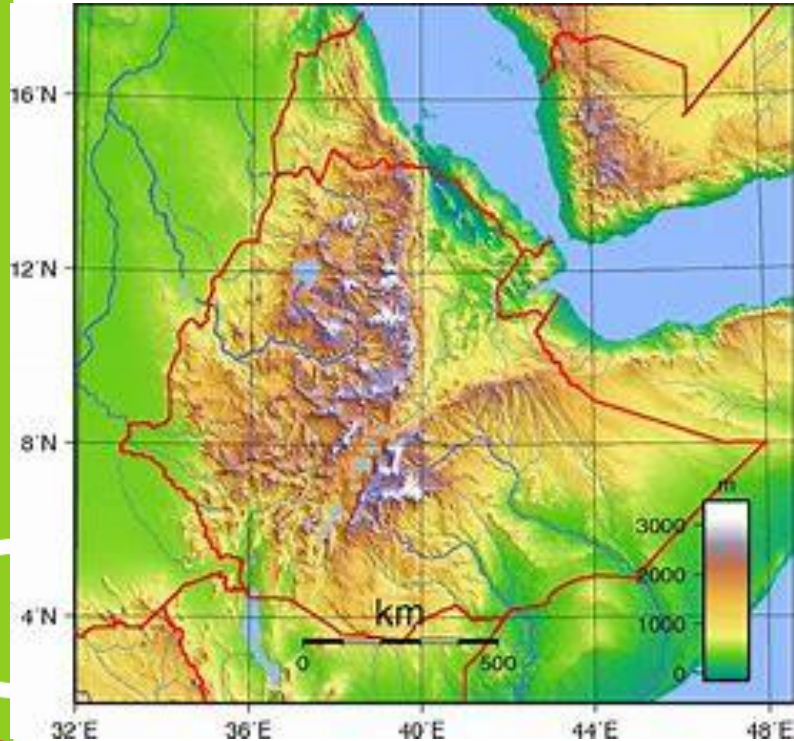
Addis Ababa, Ethiopia

Introduction

- Agriculture is an essential driver of economic growth in the Ethiopian economy,
- Crop and livestock production account for roughly 65% and 25% of agricultural GDP,
- Ethiopia has marvelous opportunities like:-
 - commercial farming investment on oil seed s, fruit, vegetable, ornamental plants, and beef;
 - the huge number of the labor force,
 - water resources, and
 - proximity to the Middle East, Europe and other African countries,



Opportunities



- Ethiopia has a vast agronomically favorable land, conducive climate, water and land resources—these have made an incredible hub for investing in agriculture.
- 120 million – population – the second largest market in Africa
- From the total land area, 74.3 million hectare is suitable land for agriculture
- 18 major agro-ecological zones, making suitable for diverse agricultural investment opportunities

Investment Incentives in Ethiopia

Investment incentives in Ethiopia includes:-

- Income tax exemptions
- Duty-free importation of capital goods
- Provision of land with competitive lease prices
- Tax holidays for priority sectors
- Investment credit support
- Duty exemption of raw materials used as inputs for export
- Fiscal and non-fiscal incentives applicable to both domestic and foreign investors

Ethiopia's Ministry of Finance has issued [Directive No. 941/2023](#) to provide tax incentives aimed at encouraging the expansion and upgrading of investments.

This directive, grounded in the [Investment Incentives Regulations No. 517/2022](#), offers significant benefits such as income tax exemptions and duty-free importation of capital goods

Agriculture Sector Investment Incentives

Ethiopia offers several attractive investment incentives for the agriculture sector. Here are some key highlights:-

1. **Tax Incentives:** Investors can benefit from tax holidays ranging from 9 to 15 years, depending on the type and location of the investment
2. **Duty-Free Imports:** There are privileges for duty-free importation of machinery and equipment
3. **Land Lease:** Land is available for lease for up to 50 years at concessionary prices, sometimes as low as \$6 per hectare
4. **One-Stop-Shop Services:** Investors can access a streamlined process for obtaining business licenses and securing land through a one-stop-shop facility
5. **Investment Guarantees:** There are guarantees for the repatriation of profits and dividends

These incentives are designed to attract both domestic and international investors to the agricultural sector, which is a significant part of Ethiopia's economy

Riders Farming Strategic Goals



- Objective 1:** Establish ethical commercial Cotton, wheat, Coffee, oil seeds and cereals, Fruits and vegetables, animal feed (alfa-alfa and/or soyabean), green mung, hybrid seeds , farming at Afar, Somali and Southern regions based on a detailed feasibility study,
- Objective 2:** Involving in livestock farming focus on, dairy farm/milk production, fattening, Poultry, and Fishery based on a detailed feasibility study,
- Objective 3:** Invest on agro-processing industries as a forward linkage for all established farming businesses to produce packed consumable products based on a detailed feasibility study, (such as; animal feed processing, and coffee roasting),
- Objective 4:** Develop silo in different parts of the country, (propagation centers, seedlings)



Riders Projects



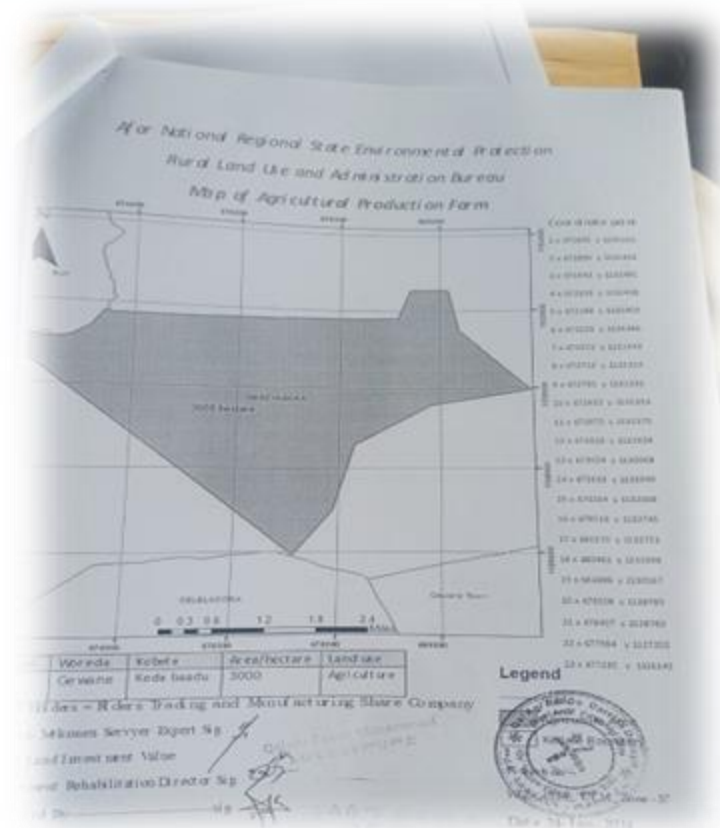


Project One:- Amibara Project

- The Amibara farm has around 400ha of land, which is owned through contract farming from the local community on a rental basis,
- The farm is located around the Afar Region near Awash town, 275km from Addis Ababa city,
- The land has a full irrigation scheme,
- Currently, we are growing cotton on the 400ha of land,

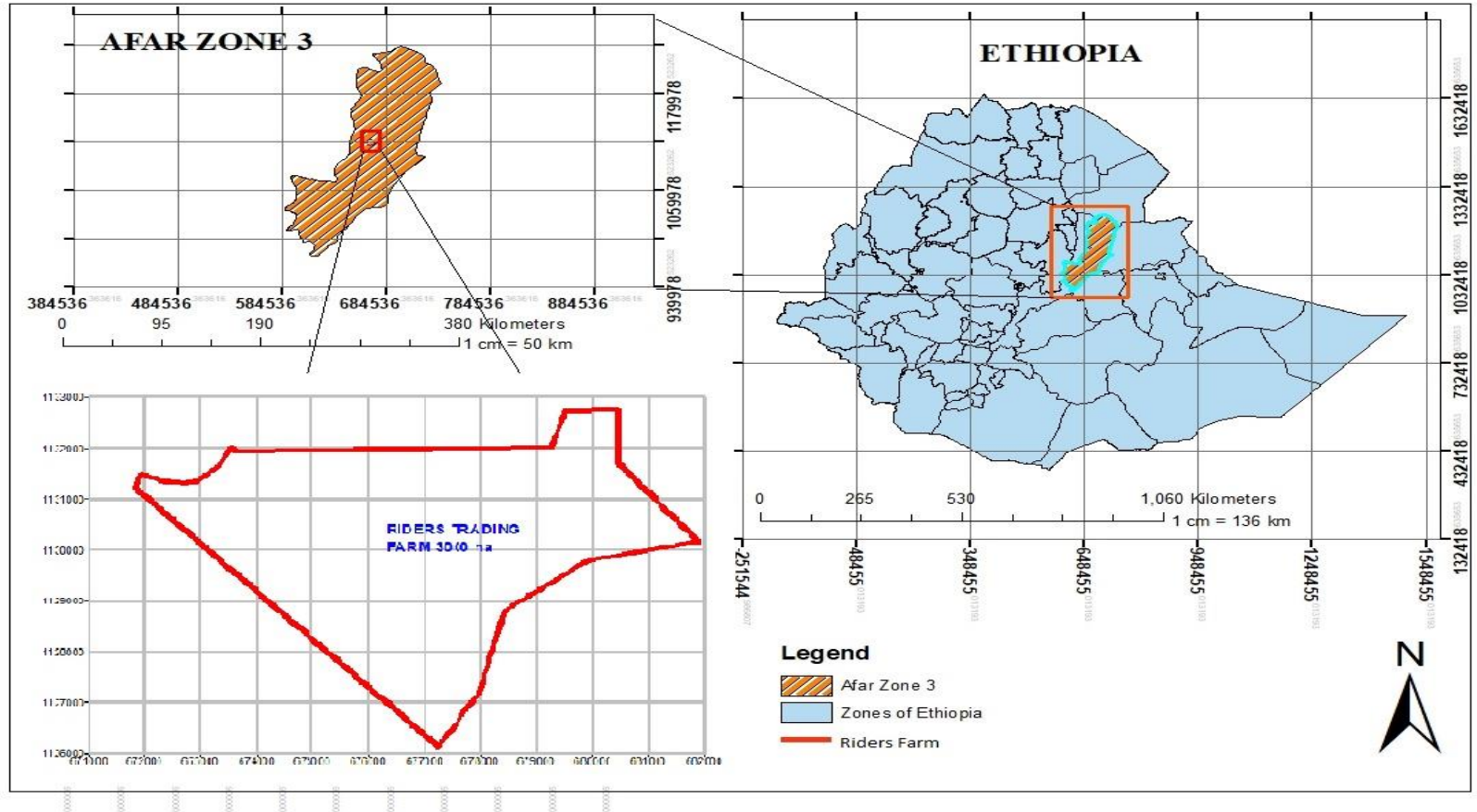


Project Two:- Gewane Project



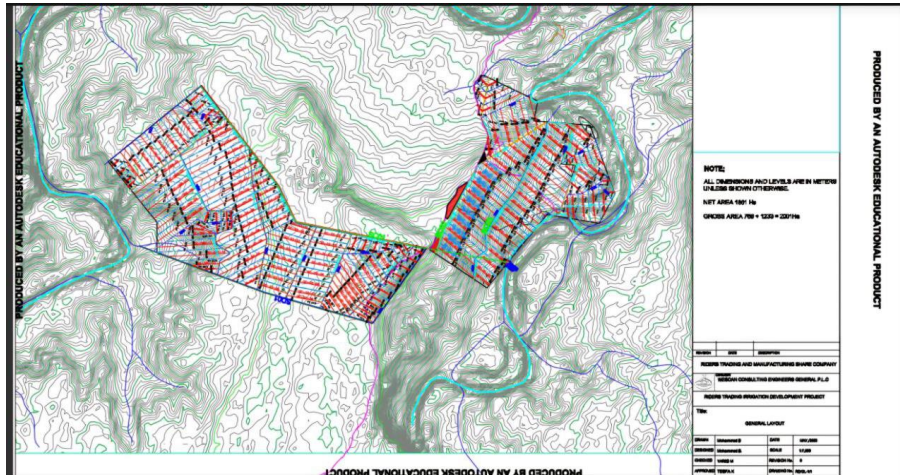
- The project is located 8km northwest of Gewane town and 385km from Addis Ababa,
- The farm's total gross area is 3000ha with possible expansion up to 5000ha,
- The area is very suitable for cotton oilseed, fruits ... production,
- Near the Awash River, and suitable for irrigation purposes,
- The technical and feasibility study is completed, and the project is estimated at around 34 million dollars.

Project Two:- Gewane Project



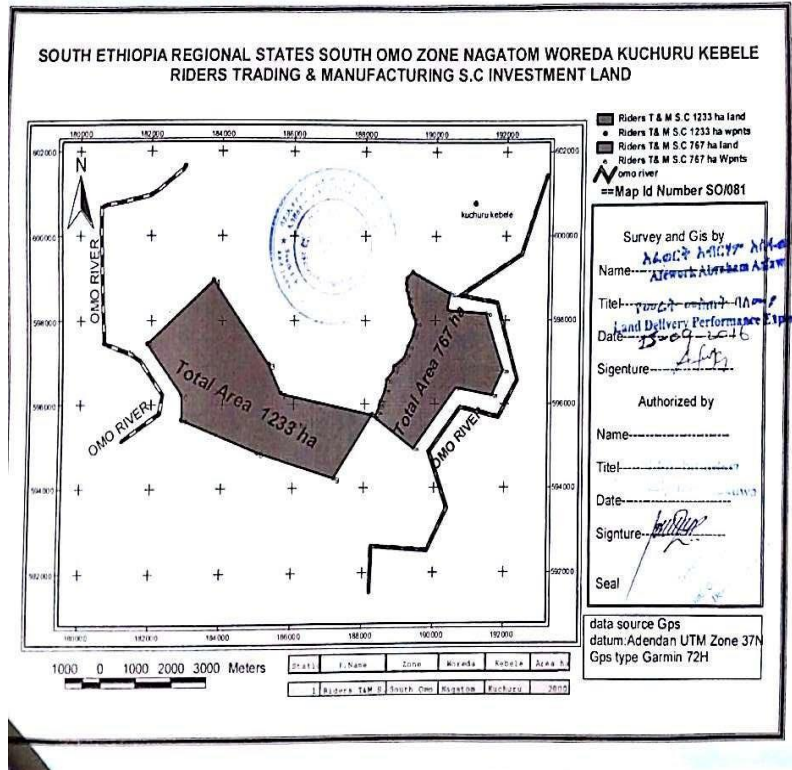


Project Three:- South OMO Project



- It is located in Sothern Ethiopia Region al State, Kgnangatom Woreda,
- The gross command area of the project is 2000ha of land, with possible expansion up to 5000ha,
- It is 800km away from Addis Ababa.

Project Three:- South OMO Project



- Near OMO River water and suitable for irrigation purposes,
- Suitable for agricultural products, such as fruits, cotton, oil seeds. . .etc,
- Under the technical and feasibility study phase,

Objectives of the Projects

The main objectives of the Riders Farming projects are:-

- 1) to supply cotton to the RIDERS-ELSE Textile Industry (a functioning and viable factory located at Adama town owned by Riders Trading and Manufacturing Share Company) and for the international market/ exporting,
- 2) to produce various types of agricultural products such as fruits, oilseeds, and other exportable crops,



Government Commitments

- The Government of Ethiopia is highly committed to sustainably increasing investments in agriculture.
- In addition, as the sector promises potential foreign currency earnings, it is considered priority sector for development
- The government has been investing in:-
 - infrastructure,
 - institutional reforms,
 - inclusive markets, and
 - innovation and extension services
- creating an **enabling environment for private sector investors for both local and foreign.**



RIDERS' Partnership

Riders' Partnership has various forms.

- Joint Ventures/JV,
- Contract farming, and
- Any other forms the partner propose
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**Thank you very much for
your attentions**

